salary e.g., Employee's Provident Fund (EPF), Voluntary Provident Fund (VPF), superannuation and gratuity investments.

There is a very simple reason for investing your money before taxes are deducted, as the money that you would have paid in taxes can also earn interest for you and if you are able to utilize the power of time, soon the interest can overtake your principle amount, as we already saw.

So, never lose the opportunity of saving in such retirement schemes or any other Exempt, Exempt, Exempt (EEE) schemes, where all three i.e., principle, interest and withdrawals are exempt from taxes.

Having said that, make sure your portfolio is balanced as per your age and risk taking capability before you undertake any investing decision. You will find more details about portfolio balancing in the next chapter of the book.

Never invest on tips

My experiences on investing on tips given to me by friends during various dinner invites was a total failure. As expected my share of money was eroded over a short period of time in the stock market, before I was able to retrieve some of it using tools like Rupee Cost Averaging.

Never ever invest in stocks based on tips from your "well meaning" friends. Everyone has an opinion, but chances are they do not have all the facts. Somebody at work may tell you about a stock that is "really going to make you a lot of money". You know nothing about the stock but rush out and buy a hundred shares nevertheless. This is the craziest thing you could ever do. Beware before you place your trust in a friend or relative and invest your hard earned money based on rumours and street talk. You have your own decision making power and your own ability to judge what is going on around you. You also have the freedom to choose the right investment advisor.

My advice to beginners has always been to do a lot of research and then take your decision based on your market study and gut feel. Even if you make a mistake, learn from it and become better with time. Within a few